

RESEARCH ARTICLE

A Systematic Literature Review on Audit Quality and ESG-Corporate Performance: Current Insights and Future Directions

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ABSTRACT

The growing emphasis on corporate responsibility and transparency places audit quality at the center of advancing the Environmental, Social, and Governance (ESG) performance. The current systematic literature review (SLR) study reviewed the literature on audit quality and ESG corporate performance. Employing the Preferred Reporting Items for Systematic Reviews and Meta-Analysis (PRISMA) method, the review initially identified 522 articles, screened 265 articles, and retained 37 articles that met the Quality and Eligibility Assessment (Q&EA) inclusion criteria. While prior research has widely focused on ESG performance, disclosure, and reporting, limited attention has been given to ESG sustainability performance and the role of internal control system. This review addresses the gap by highlighting audit quality's role in enhancing the credibility of sustainability reporting and advancing ESG-corporate sustainability performance. The results confirm multifaceted nature of the audit quality and ESG relationship, suggesting that high-quality audit not only enhances the credibility of sustainability reporting but also plays a pivotal role in advancing sustainable ESG-performance. Based on the review findings, the integration of internal control system with audit quality for the aim of improving ESG corporate sustainability performance is established. The study contributes to extending literature and provides policymakers and practitioners with actionable insights on how audit quality can foster more credible, responsible, and sustainable corporate policies.

1 | Introduction

Audit quality has long been a cornerstone in the domain of financial reporting and governance practices, serving as a mechanism to enhance transparency, accuracy, and reliability in financial statements (Yunis et al. 2024; Del Giudice and Rigamonti 2020). High-quality audits are characterized by adherence to rigorous professional standards, independence, and a high level of auditor expertise and skepticism, which collectively reduce the risk of financial misstatements (Bacha et al. 2021). Previous studies highlight the role of audit quality in ensuring corporate performance and examine the correlation between climate change and corporate performance (Alaamri et al. 2023).

However, the importance of audit quality extends beyond financial performance, as it also influences stakeholders' trust and the overall integrity of capital markets (Ojala et al. 2016). In recent years, the scope of audit quality has broadened to include the assessment of non-financial information, such as ESG (Environmental, Social, and Governance) metrics, reflecting the growing significance of sustainability in corporate reporting (Ojetunde et al. 2024; Maji and Tiwari 2025).

ESG performance refers to the ability of a company to manage the criteria of ESG contributing to its long-term sustainability and impact on society (Aydoğmuş et al. 2022). In line with Stakeholder Theory, standardized ESG indicators enable

companies to respond more effectively to the expectations of diverse stakeholders who increasingly demand ethical, transparent, and sustainable business practices (da Cunha et al. 2025). The ESG framework has therefore become a critical aspect of corporate strategy, as investors, regulators, and consumers increasingly prioritize sustainability and ethical governance in their decision-making processes (da Cunha et al. 2025; Sætra 2021). Companies with strong ESG performance are often perceived as well positioned to manage risks and embrace variety of opportunities related to climate change, social responsibility, and corporate governance, which can translate into long-term financial benefits (Hazea et al. 2022). The integration of ESG criteria into corporate reporting has created new standards and international frameworks, such as the Sustainability Accounting Standards Board (SASB), and the Global Reporting Initiative (GRI) which aim to enhance the comparability and transparency of ESG disclosures (Li et al. 2018).

The relationship between ESG performance and audit quality is of growing importance as stakeholders demand greater accountability and transparency in corporate sustainability reporting (Zahid et al. 2022; Asante-Appiah and Lambert 2023). High-quality audits can play a crucial role in verifying the accuracy and completeness of ESG disclosures, thereby enhancing the credibility of a company's sustainability performance (Husted and de Sousa-Filho 2019). As ESG factors become increasingly integrated into investment decisions, the assurance provided by rigorous audits can help bridge the trust gap between companies and their stakeholders. This supports Legitimacy Theory, which posits that accurate ESG disclosure enhances a company's legitimacy, strengthens investors' confidence, and ultimately influences the preference for equity financing over debt financing (Zahid et al. 2023). Moreover, auditors' expertise in assessing non-financial information and their professional skepticism can help identify and mitigate potential risks related to ESG practices, contributing to more sustainable corporate governance (Del Giudice and Rigamonti 2020).

Despite the rising literature on both audit quality and ESG performance, the intersection of these two areas remains underexplored. While individual studies have examined various aspects of audit quality or ESG performance, there is a lack of comprehensive reviews that synthesize the evidence on how audit quality influences ESG-corporate sustainability performance. Given the increasing importance of ESG factors in corporate strategy and reporting, a systematic review of the relationship between audit quality and ESG performance is necessary to provide a clearer understanding of this dynamic and its implications for corporate governance. However, several gaps exist in the current literature that justify the need for this systematic review. First, there is limited research on the specific mechanisms through reporting. Second, there is a lack of consensus on how different measures of audit quality, such as auditor tenure, audit firm size, and audit fees, affect ESG performance. This inconsistency in findings underscores the need for a systematic analysis of the existing literature to identify common patterns and discrepancies. Finally, regional and industry-specific variations in the relationship between audit quality and ESG performance have not been adequately explored, limiting the generalizability of existing findings (Dragomir and Dumitru 2023). Hence, the primary

objective of this systematic literature review (SLR) is to comprehensively examine the relationship between audit quality and ESG-corporate performance through three specific aims:

1. To assess audit quality measures and their role as key determinants influencing the accuracy, reliability, and effectiveness of ESG disclosures and corporate performance.
2. To evaluate ESG performance measures in relation to audit quality, highlighting their role in assessing corporate sustainability performance.
3. To investigate the relationship between audit quality and ESG-corporate performance, with particular emphasis on how audit quality enables auditors to detect and enhance ESG-related practices.

This SLR offered a thorough analysis of the existing literature, identifying key trends, gaps, and areas for future research. It will also offer practical recommendations for auditors, corporate managers, policymakers, and practitioners on improving audit practices towards sustainable ESG corporate performance. The study is structured as follows: the following section reviews the related studies on audit quality and ESG-corporate performance. Following this, the method section outlines the systematic approach used to identify, select, and analyze relevant studies, including a detailed description of the search strategy, inclusion parameters, and data collection and extraction process. This section is followed by the data synthesis and analysis of the review, including an overview of the selected studies, key characteristics, the synthesis of results, and discussion of the findings in the context of the existing literature. Finally, the conclusion section highlights the key findings and their significance, acknowledges the strengths and limitations of the review, discusses implications for practice and policy, outlines directions for future research, and closes with final remarks.

2 | Related Work

Sustainability is a modern trend that all companies and various international organizations, such as the Sustainability Accounting Standards Board and the United Nations, seek to study and strive to achieve (Bacha et al. 2021). The United Nations recently presented 17 major goals under the name of the Sustainable Development Goals (SDGs), which are related to environmental and social issues, corporate reports, and human rights (Asante-Appiah and Lambert 2023). On the other hand, pressures from various segments of society have increased with the need to work to improve the behavior of companies due to the large environmental disasters widely publicized in the media. Therefore, these pressures have increased the demand for more information and implementation of various environmental activities. Furthermore, concerns resulting from the environmental and social impacts of businesses have increased the demand for disclosure and transparency on all issues and practices related to corporate behavior (Bacha et al. 2021).

ESG criteria are progressively becoming pivotal in assessing a company's performance (Cho et al. 2019). ESG factors can significantly influence a firm's financial statements, risk profile, and cost of capital (Asante-Appiah and Lambert 2023), while companies

with strong ESG performance are less likely to engage in earnings management and financial misstatements (Alahdal et al. 2025). Moreover, substantial indicators of a company's non-financial performance are gaining prominence in capital markets alongside more conventional metrics (Borchert and Zellmer-Bruhn 2010). Advocates for the incorporation of non-financial information assert that managerial incentives may be more effectively aligned with creating long-term shareholder value and, ultimately, societal benefit. The growing interest of investors in examining and analyzing the diverse array of ESG factors has led to the growing prominence of specialized rating services. ESG rating agencies, akin to credit rating institutions, facilitate informed decision-making among market participants by disseminating pertinent information. In this regard, ESG rating entities gather and evaluate data pertinent to assessing the quality of environmental, social, and governance practices, making these evaluations accessible to investors and other stakeholders. Due to the absence of a singular definition of ESG performance, these organizations assume a crucial role in interpreting a company's ESG practices and outcomes. One of the most contentious dimensions of sustainability metrics pertains to the accuracy, transparency, and reliability of the data utilized in calculating the scores. ESG rating organizations frequently undertake their evaluations through comprehensive questionnaires and the meticulous analysis of publicly accessible materials (Khurram et al. 2024). Rating agencies predominantly depend on corporate reporting as their principal data source. While financial reporting has achieved globally standardized formats, non-financial reporting remains in its nascent stages. This situation raises concerns regarding the accuracy of organizations' disclosures of ESG information, which may, in turn, impact the validity of ESG ratings. Indeed, if the information that rating agencies receive from corporations is at best noisy, the resultant scores will similarly reflect this unreliability (Hazaea et al. 2022; Borchert and Zellmer-Bruhn 2010).

With sustainability assuming an increasingly vital role in economic progress, corporate environmental and social responsibility has evolved into a global trend. This shift has been accompanied by a lack of non-financial disclosures from businesses, including ESG data and practices (Zhang et al. 2020). ESG disclosures offer a comprehensive insight into the non-financial reporting practices of various enterprises. Corporate managers can leverage non-financial information to pursue various strategic goals related to environmental matters (Alewine and Stone 2013). Additionally, the academic and organizational ESGD community exhibits a strong interest in its investigation. In recent times, all stakeholders have displayed a heightened interest in understanding how managers incorporate ESG considerations and interests into their decision-making processes (Husted and de Sousa-Filho 2019). Therefore, it is valuable to explore areas that prior studies have largely overlooked to gain a more nuanced understanding of the relationship between ESG and corporate governance systems. One such area worth investigating is audit quality, which goes beyond the obvious connections. In this context, specialized governance mechanisms like audit quality could play a pivotal role in enhancing the quality of strategic decision-making and ensuring the effective implementation of new initiatives. Audit quality is a crucial governance tool for addressing agency issues, as suggested by (Zhang et al. 2020). In an agency environment, information asymmetry between stakeholders and management leads to agency costs. Therefore, companies should engage independent auditors

to help mitigate opportunistic behavior, as highlighted by (Sawaya et al. 2025). As a result, this project aims to systematically synthesize existing evidence on audit quality and emphasize sustainability performance as a crucial but underexplored dimension of ESG.

3 | Methodology

The current systematic literature review (SLR) process was adhered to the guidelines stipulated by the Preferred Reporting Items for Systematic Reviews and Meta-Analysis (PRISMA) (Del Giudice and Rigamonti 2020). Additionally, it adhered to established standards defined by (Zahid et al. 2022). In this SLR, a mapping methodology involved four sequential steps, as outlined by (Zahid et al. 2022; Sawaya et al. 2025), illustrated in Figure 1, and explained in detail below.

3.1 | Step 1: Preliminary Investigation

An initial investigation, serving as a critical and foundational stage in the SLR process, was undertaken to attain in-depth knowledge of audit quality and ESG corporate performance. To establish precise research inquiries, select appropriate keywords, and set the boundaries of the investigations, this step involved three key phases as outlined below:

3.1.1 | Identification of Keywords

An initial investigation utilizing Google Scholar was conducted employing the keywords "Audit Quality" and "ESG Performance" to identify extant literature pertaining to the subject matter. Alternative terminologies and additional keywords discerned during this search process included "Corporate Performance" and "Sustainable Corporate Performance." However, in this phase, pertinent scholarly articles were evaluated for their contribution to the SLR. Consequently, the articles obtained facilitated the identification of additional pertinent keywords and delivered an extensive comprehension of the research scope. From this analysis, the keywords used were systematically examined to ascertain the optimal combinations that would effectively underscore the relevance of literature. The findings of these keyword combinations, along with the corresponding quantity of articles extracted from Google Scholar inquiry, are illustrated in Figure 2 below.

3.1.2 | Development of Research Questions (RQs)

Based on the objectives of this comprehensive literature review, the below research questions (RQs) were specifically developed to address the key issues and further explore the critical dimensions of the study domains.

RQ1. *What metrics of audit quality have been used in the literature to evaluate their impact on the accuracy, reliability, and effectiveness of ESG disclosures and corporate performance?*

RQ2. *What ESG performance measures are most commonly examined in relation to audit quality, and how are they operationalized in the literature?*

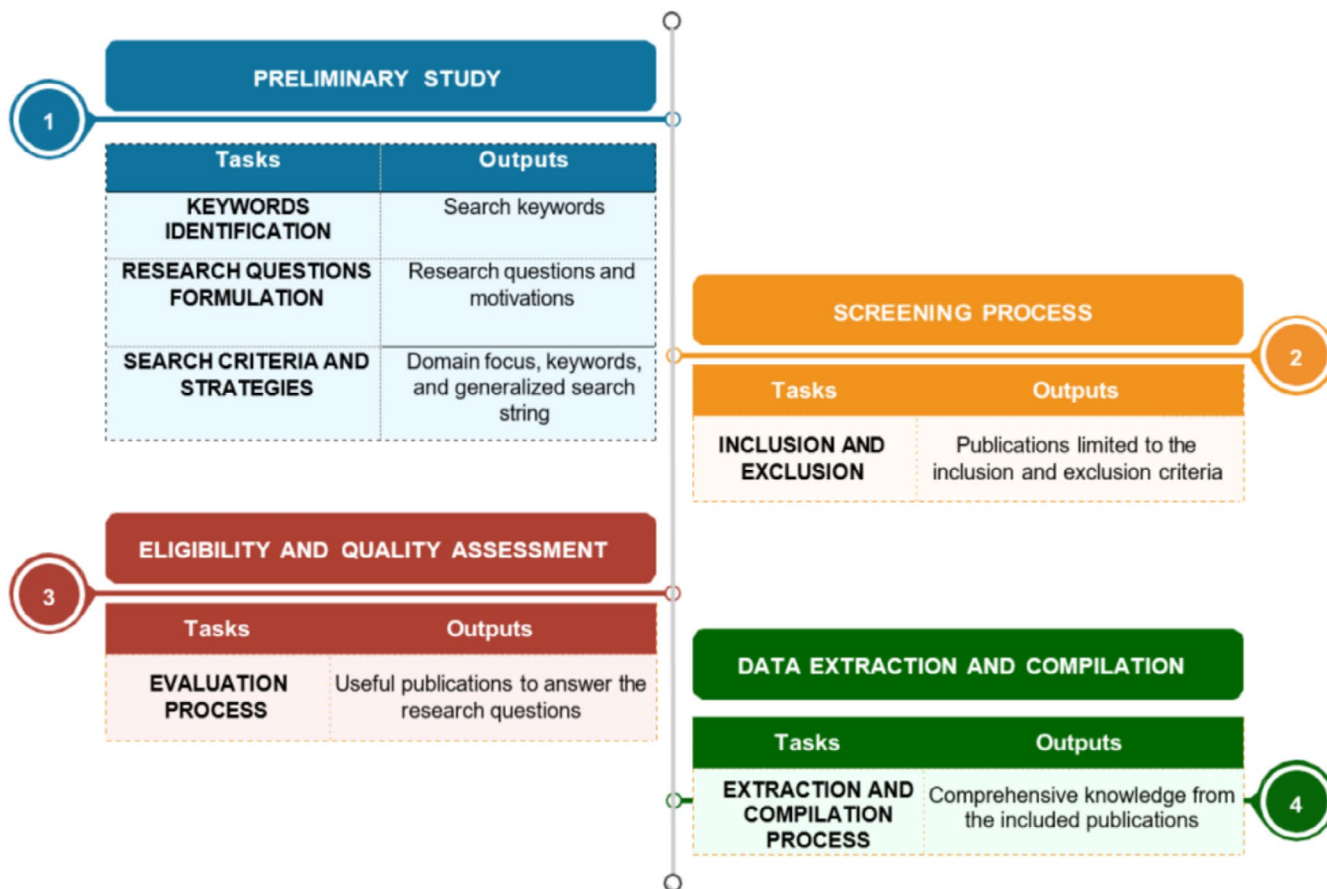


FIGURE 1 | The Literature Study Mapping Process.

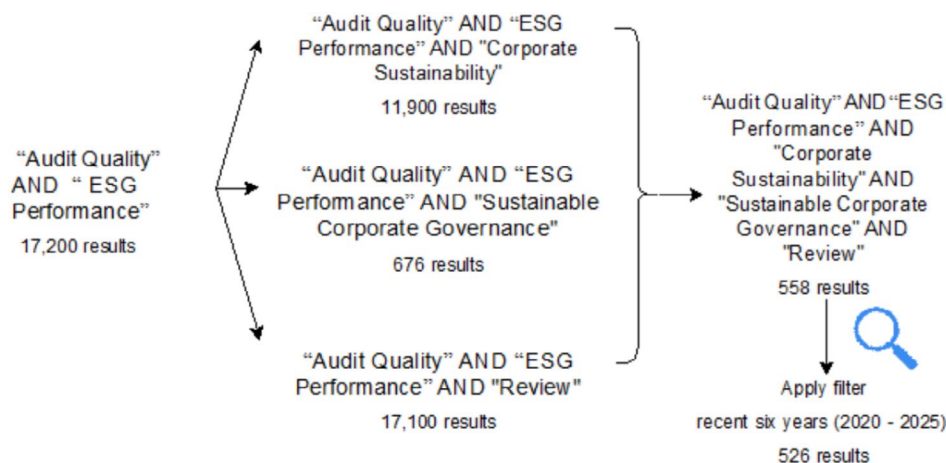


FIGURE 2 | Overview of the keyword combination findings from Google Scholar.

RQ3. *How does audit quality influence ESG-corporate performance, and what patterns, trends, or gaps are evident in the existing body of research?*

3.1.3 | Literature Identification Criteria and Strategies

In this phase, the establishment of appropriate search criteria became imperative to confine the search endeavor to particular domains. For the purposes of this study, four leading

scholarly databases were selected as the primary sources: Scopus, ScienceDirect, Web of Science, and IEEE Xplore. The search was executed with an emphasis solely on the titles, abstracts, and keywords containing “Audit Quality,” “ESG Performance,” “Corporate Performance,” and “Sustainable Corporate Performance.” The review covered only three types of sources: conference proceedings, journal articles, and book chapters published between 2020 and 2025, as this period reflects the rapid evolution of ESG frameworks, regulatory reforms, and assurance practices following the global shift toward sustainability and post-COVID-19 governance.

Focusing on this timeframe allows the review to capture the most current insights and to identify future research directions in audit quality and ESG corporate performance (see Tables 1 and 2).

To conduct the search outlined in the SLR, Boolean operators (AND, OR) and wildcard characters were applied to refine the search terms, following (Arif et al. 2020; Akomea-Frimpong et al. 2021). A systematic search was then carried out across four identified scholarly databases and publication venues. Nonetheless, a large dataset was produced in the first search. It was refined by expanding the query to titles, abstracts, and keywords. Table 1 presents the research area, keywords, search methodology, and the full search query formulation used for the systematic literature review (SLR). Following the implementation of the predefined search criteria and strategies across the four selected databases, a total of 795 studies were extracted. The final search date was 12/03/2025. In accordance with the PRISMA guidelines (Arif et al. 2020), relevant studies were screened, and duplicate records were removed using Microsoft Excel and EndNote, resulting in 445 unique publications. The overall process, including the progression through the various phases of the SLR, is illustrated in Figure 3, which presents the PRISMA flowchart as adapted from (Sharaf-Addin 2024).

TABLE 1 | Literature identification criteria and strategies.

Focus area	Keywords	Search scheme	Generalized search string
Audit quality	Audit Quality, corporate performance, sustainability performance	Title, abstract, and keywords	(*Audit Quality* AND “Corporate Sustainability” AND “Sustainable Corporate Performance”)
ESG performance	ESG performance, corporate sustainability, sustainable corporate performance	Title, abstract, and keywords	(*ESG Performance* AND “Corporate Sustainability” AND “Sustainable Corporate Performance”)
Audit quality AND ESG performance	Audit quality, ESG performance, corporate performance, sustainability performance	Title, abstract, and keywords	(*Audit Quality* AND *ESG Performance* AND “Corporate Sustainability” AND “Sustainable Corporate Performance”)

TABLE 2 | Inclusion and exclusion criteria.

Criteria	Inclusion criteria	Exclusion criteria
Publication year	2020–2025	Not within 2020–2025
Article category	Conference proceedings, Journal articles, and book chapters	Blogs, interviews, letters, review papers, seminars, and tutorials.
Language	English	Other languages
Data availability	Full-text sources	Sources not available in full text (< 5 pages)
Relevance	Relevant to audit quality, ESG performance, corporate sustainability, and sustainable corporate governance	Irrelevant to audit quality, ESG performance, corporate sustainability, and sustainable corporate governance
Area	Research in accounting, corporate governance, ESG, and sustainability	Non-related publications outside Accounting, corporate governance, ESG, and sustainability
Publication status	Final published studies	Unpublished or in-press manuscripts
Access type	Open-access publications	Limited-access publications

3.2 | Step 2: The Screening Procedure

After completing the database search, a total of 795 records were subjected to a three-step screening process, beginning with inclusion/exclusion and continuing with two further evaluations. All manuscripts were screened against the inclusion and exclusion criteria specified in Table 2. These guidelines served as essential parameters to identify studies relevant to the research questions, and non-compliant studies were excluded.

3.3 | Step 3: Quality and Eligibility Screening

From the screening stage, 265 manuscripts were retained and subjected to a Quality and Eligibility Assessment (Q&EA) prior to their incorporation with the final catalog of included studies. The evaluation was performed using explicit criteria and a scoring model, where 1 represented “agree,” 0.5 denoted “partly agree,” and 0 indicated “disagree.” The purpose of this assessment was to ensure that only studies meeting essential standards, such as having well-defined objectives, a carefully described methodology, an acknowledgment of limitations, and clear, reliable findings, were retained. The complete criteria and the scoring framework used in this process are summarized in Table 3.

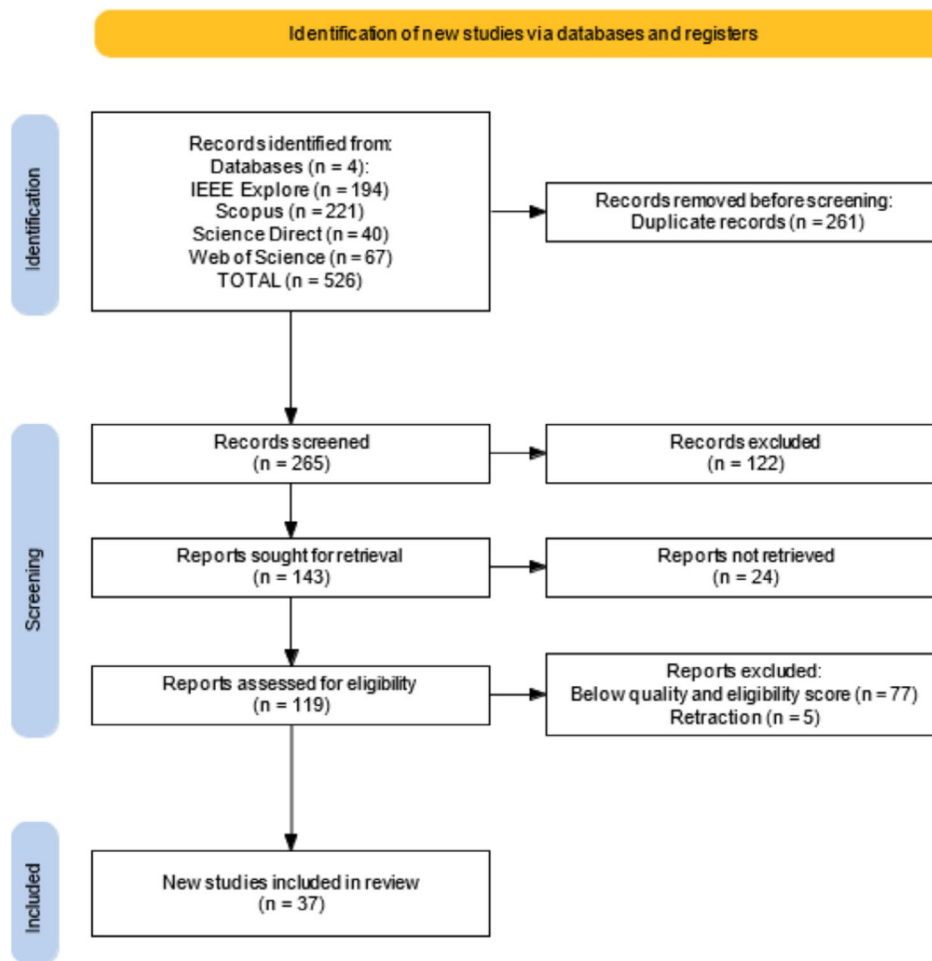


FIGURE 3 | PRISMA diagram summary of the systematic literature review processes.

The Q&EA scoring framework spans from 0 to 4, with each point denoting a distinct level of scholarly merit, where a score of 4 signifies studies of the highest quality and exceptional rigor. To ensure that only research of superior quality is included in the final compilation of selected studies, a threshold score of 3.5 was established for eligibility. Accordingly, 37 studies from the initial 343 qualified for inclusion in the qualitative analysis, while the remaining studies did not meet the eligibility standards and were excluded.

3.4 | Step 4: Compiling Included Studies and Extracting Data

Following the completion of the Q&EA, the final selection of eligible studies, along with their associated metadata, was systematically retrieved from the scientific databases and organized into a structured spreadsheet. The extracted metadata encompassed bibliographic details such as titles, abstracts, author affiliations, publication information (volume, issue, pages, and publisher), secondary titles, publication venues, URLs, digital object identifiers (DOIs), keywords, reference types, year of publication, and the originating database. In addition to these, content-specific attributes were also catalogued, including architectural descriptions, application domains, core motivations, research objectives, reported advantages and limitations, datasets employed, evaluation metrics, and experimental setups.

A total of 82 studies were included and subjected to rigorous analysis to elucidate the RQs pertinent to this SLR. The key insights from these studies highlighted the significance of audit quality, particularly its impact on transparency, accuracy, and reliability in financial reporting. Data was collated regarding the implications of audit quality on stakeholder trust, corporate governance, and the assurance of financial and non-financial disclosures, especially concerning ESG performance. The studies further scrutinized the significance of professional standards, auditor independence, expertise, skepticism, and the overarching influence of audit quality on corporate sustainability and ESG performance outcomes. Table 4 shows the number of studies retrieved from all research databases and across the different phases of the process of SLR. Only studies demonstrating clear objectives, acknowledged shortcomings, well-structured methodologies, and presented empirical findings were included.

As illustrated in Table 4, Scopus contributed the largest share of high-quality and relevant articles, totaling 18 studies (49%), followed by ScienceDirect with nine studies (24%), Web of Science with six studies (16%), and IEEE Xplore with four study (11%). Overall, Scopus and ScienceDirect contributed the largest proportion of relevant studies, reflecting their strong coverage of business, accounting, governance, and sustainability research. These databases are well aligned with the study's focus on audit quality and ESG corporate performance and are therefore suitable for

TABLE 3 | Criteria for assessing the quality and eligibility of studies.

Criteria	Score	Description
Clear objectives?	1	The study explicitly states its objectives and research goals.
	0.5	Objectives are identified but the goals are only partially defined.
	0	Ambiguous objectives.
Methodological rigor	1	A comprehensive and well-structured methodology is presented.
	0.5	A methodology is described, but key details are missing.
	0	The methodology is vague or entirely absent.
Acknowledgment of limits	1	The study explicitly discusses its research limitations.
	0.5	Limitations are mentioned but insufficiently elaborated.
	0	No limitations are acknowledged.
Transparency of findings	1	Findings are clearly presented and supported with visual or empirical evidence.
	0.5	Results are reported with insufficient supporting evidence.
	0	Results are poorly explained and unsupported.

TABLE 4 | Number of studies retrieved at each stage of the SLR process.

Source	Identified	Screened	Pass Q&EA
Scopus	194	136	18
Science Direct	221	100	9
Web of Science	40	20	6
IEEE Xplore	67	9	4
Total	522	265	37

capturing current insights and identifying future research directions in this field. Figure 4 shows the database-wise distribution of studies, while the studies that passed the Q&EA criteria are summarized in Table 5. The analysis and synthesis of the data from the included studies is presented in the next section.

4 | Data Synthesis and Analysis

A thorough synthesis and analysis were performed on the data from the selected studies. The results highlight the effect

of audit quality on ESG performance. Each research question was systematically addressed, providing insights and discussing the implications for future research and practical applications.

4.1 | RQ1: What Measures of Audit Quality Have Been Used in the Literature to Evaluate Their Impact on the Accuracy, Reliability, and Effectiveness of ESG Disclosures and Corporate Performance?

Several studies provide valuable insights into different measures of audit quality affecting ESG corporate practices. Most commonly, researchers use Big Four auditors as an indicator for high audit quality, while others emphasize audit committee features and auditor characteristics. Broadly, these measures can be grouped into auditor-related factors (Big Four affiliation, auditor tenure, specialization), audit committee characteristics (size, independence, expertise), process indicators (audit fees, opinion type, internal audit effectiveness), and governance context (regulatory compliance, enforcement quality). Table 6 summarizes the common audit quality proxies and outlines how these proxies are most frequently used in the literature.

These measures matter because they influence the credibility, accuracy, and timeliness of ESG disclosures. For instance, Big Four auditors bring reputational discipline with ESG practices (Zahid et al. 2023), while audit committees with independent and expert members reduce managerial bias in ESG reporting (Narullia et al. 2024). Auditor experience and specialization can improve ESG risk assessment (Sawaya et al. 2025), whereas excessive tenure may weaken skepticism (Napitupulu and Djaddang 2025). Similarly, audit committee expertise supports and strengthens ESG performance (Sahu et al. 2025), while audit fees, independent assurance, and disclosure timeliness and usefulness are effective measures of audit quality (Bacha et al. 2021), especially when addressing the improvement of ESG disclosure.

Comparative insights indicate that audit quality measures differ across market contexts. In developed markets, auditor-related measures, such as Big Four affiliation, auditor tenure, and industry specialization, together with governance measures like regulatory compliance and enforcement quality, are more commonly examined in developed markets due to stronger institutional and regulatory frameworks. In contrast, studies in emerging markets tend to rely more on audit committee characteristics (size, independence, expertise) and process-based measures (audit fees, opinion type, internal audit effectiveness), reflecting differences in governance structures, regulatory maturity, and the availability of reliable audit quality proxies. Future research should explore integrating these diverse measures into a unified audit quality framework adaptable to different institutional environments and examine how digital reporting tools, data analytics, and evolving ESG requirements reshape the relevance and effectiveness of audit quality measures across both developed and emerging markets.

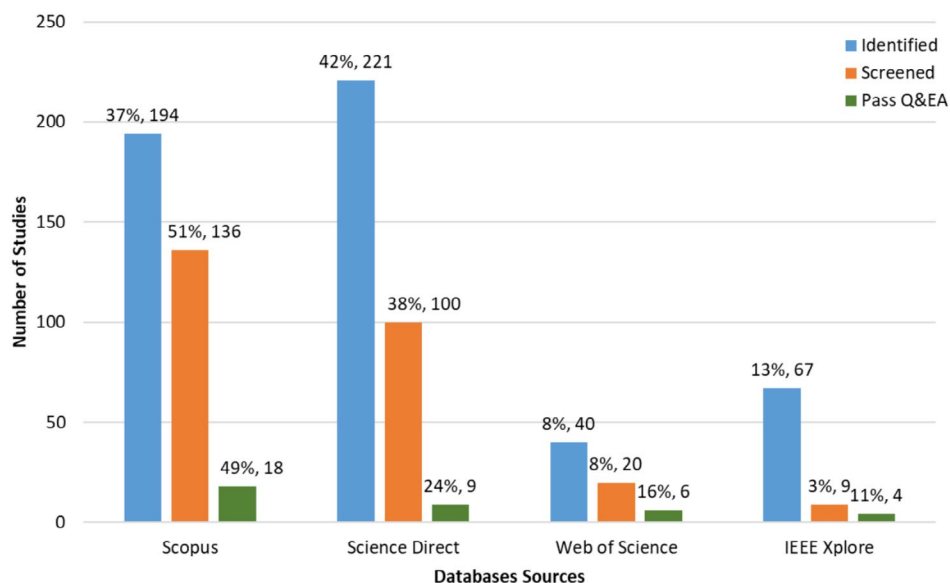


FIGURE 4 | Distribution of studies across databases.

However, despite growing attention towards the association between audit quality and ESG performance, the literature remains largely concentrated on Big Four affiliation as the dominant proxy for audit quality. Other critical dimensions, including internal audit quality, the strength of internal control systems, assurance of ESG sustainable reports, and audit committee dynamics, are comparatively underexplored. Furthermore, most empirical evidence is drawn from developed economies, leaving a significant research gap in emerging markets where weaker governance structures and limited regulatory enforcement may fundamentally reshape the audit-ESG relationship.

4.2 | RQ2: What ESG Performance Measures Are Most Examined in Relation to Audit Quality, and How Are They Operationalized in the Literature?

ESG corporate performance measures vary across studies. The most common approach is to use composite ESG ratings provided by third-party agencies such as Refinitiv, MSCI, Thomson Reuters, or Sino-Securities. In addition, several studies focus on individual environmental, social, or governance pillars, while others assess ESG reporting through disclosure indices (e.g., GRI, CDP) or content analysis of annual and sustainability reports. Operationalization typically takes the form of numerical ESG scores, disclosure indices, binary measures indicating the presence of ESG reporting, or market-based outcomes such as firm value and corporate performance linked to ESG disclosures. To provide a clearer overview of how ESG performance is captured in prior studies, Table 7 presents the common ESG measures and how they are used in the literature.

Comparative insights indicate differences in how ESG measures are applied across market contexts. In developed markets, research often relies on standardized third-party ESG ratings and detailed disclosure indices, reflecting stronger institutional frameworks and the availability of high-quality, reliable ESG

data. In emerging markets, studies tend to focus more on disclosure presence, content analysis, or simpler ESG scoring approaches, reflecting limited data availability, weaker reporting standards, and less regulatory enforcement. Future research should investigate ways to harmonize ESG measurement across contexts and examine how audit quality interacts with different operationalizations of ESG performance to influence firm value, stakeholder trust, and sustainable performance in both developed and emerging markets.

However, while ESG scores are widely adopted due to availability and comparability, their methodologies differ across rating providers, raising concerns about consistency. Furthermore, many studies treat ESG as a single composite construct, which may obscure differences in how audit quality relates to environmental, social, and governance dimensions individually. Finally, in emerging market contexts, standardized ESG data is often limited, compelling researchers to rely on manual content analysis or proxy measures.

4.3 | RQ3: What Is the Relationship Between Audit Quality and ESG-Corporate Performance, and What Patterns, Trends, or Gaps Are Evident in the Existing Research?

Existing literature examined the correlation between audit quality and ESG corporate performance from several perspectives. Some studies examine the direct effect of audit quality on ESG disclosure and performance, while others analyze how ESG practices influence audit quality. Additionally, a growing body of work explores audit quality as a moderating variable, strengthening or weakening the link between ESG practices and corporate financial performance. For example, (Handayati et al. 2025) show that auditor specialization enhances ESG disclosures, improving transparency and firm value. Similarly, (Zhang and Guo 2024) in Indonesia find that audit committee expertise and internal audit quality strengthen ESG performance, while (Al-Jalahma et al. 2020) highlight that auditor

TABLE 5 | Summary of studies on audit quality and ESG corporate performance.

Author(s) and year	Study design	Sample size	Country/region	ESG	
				Audit quality measures	performance measures
Elmghaamez et al. (2024)	Quantile regression analysis, balanced panel data	5500 firm-year observations	40 countries	Audit and sustainability committee indexes	ESG Disclosure Board committees influence the relationship between ESG disclosure and firm performance, with varying effects depending on committee type.
Eulerich et al. (2022)	Panel data regression (two models)	45 companies (2020–2022)	Indonesia	Auditor specialization (0 = No, 1 = Yes)	GRI Standards for ESG disclosure ESG disclosure and audit quality positively affect company value, while social and Governance disclosure do not affect it.
Arif et al. (2020)	Pooled OLS regression	200 firm-year observations	Australia	Audit committee independence and meeting frequency	ESG disclosure (GRI compliance, ESG and environmental scores) Audit committee activism and independence positively influence the quality and quantity of ESG disclosures, with a stronger effect on environmental disclosures.
Jia and Guang (2024)	OLS regression	5127 firm-year from 2017 to 2022 observations	China	Government subsidies and equity incentives	Innovation improves ESG performance, moderated by government subsidies and equity incentives; stronger effects for asset-advantaged corporations and core technical staff.
Luo et al. (2024)	OLS regression, panel data	3993 firms for over 11 years (2010–2020)	58 countries	Regulatory quality, and control of corruption, Political stability	Thomson Reuters ASSET4 ESG scores ESG performance positively affects financial performance, and the effect is stronger in countries with political stability, regulatory quality, and control of corruption.

(Continues)

TABLE 5 | (Continued)

Author(s) and year	Study design	Sample size	Country/region	ESG		
				Audit quality measures	performance measures	Key findings
Yip (2023)	Panel regression, 51 firms	51 Malaysian public listed firms (2012–2020)	Malaysia	Audit fees	Bloomberg ESG score (0–100)	CSR performance is positively associated with higher audit fees, possibly due to higher audit risks or the ethical demand for higher audit quality.
Zhou (2023)	OLS regression	17,484 observations (2015–2020)	China	Audit quality (high and low audit quality groups)	Hexun ESG score (environmental, social, and governance scores)	ESG performance reduces debt financing costs, particularly in high quality audit, eastern regions, and non-state-owned enterprises.
Zhang and Guo (2024)	Regression analysis, structural equation modeling (SEM)	22,868 observations (2015–2022)	China	Audit delay as a proxy for audit efficiency	CSI ESG ratings	ESG performance significantly reduces audit delays, especially in non-state-owned firms, in non-state-owned firms with low institutional investor ownership, and firms audited by “Big Four” auditors.
Narullia et al. (2024)	Panel regression analysis	90 companies (2013–2022)	Indonesia	Audit committee expertise, audit committee independence, auditor tenure score, internal audit score	Refinitiv Eikon ESG Score	Audit committee expertise and internal audit positively affect ESG performance. Audit committee independence and auditor tenure scores show no significant effect.
Al-Jalahma et al. (2020)	Panel regression analysis	104 observations (2016–2019)	GCC countries (Bahrain, Kuwait, and Oman, Saudi Arabia, Qatar)	None explicitly mentioned	ESG scores from Thomson Reuters' Asset4 database	ESG disclosure has a significant negative impact on banks' performance, measured by ROE, while ROA is not significantly affected.

(Continues)

TABLE 5 | (Continued)

Author(s) and year	Study design	Sample size	Country/region	Audit quality measures	ESG	
					performance measures	Key findings
Wang, Yu, et al. (2023)	Controlled-effects model, heterogeneity analysis, mediation effect model	4436 share-listed companies (2011–2021)	China	None explicitly mentioned	CSI ESG Rating	ESG performance enhances corporate resilience by improving capital allocation efficiency, with stronger effects in non-state-owned and manufacturing companies.
Lian et al. (2023)	OLS regression	2024 listed firms (2009–2020)	China	None explicitly mentioned	Sino-Securities Index (SSI) ESG rating system	ESG performance significantly promotes green innovation by mitigating financing constraints, enhancing human capital, and reducing management myopia.
Arvidsson and Dumay (2022)	Case study, qualitative analysis	30 Swedish companies (2008–2018)	Sweden	None explicitly mentioned	Sustainalytics ESG performance framework	ESG reporting quality and quantity have increased, but ESG performance has plateaued since 2015. Future focus should be on outcomes rather than reporting improvements.
Mooneeapen et al. (2022)	Fixed effects multiple linear regression	6035 firm-year observations (2015–2019)	27 countries (SP Global 1200 constituents)	None explicitly mentioned (country-level governance factors like democracy, political stability, regulatory quality)	Refinitiv ESG scores	ESG performance is higher in countries with lower democracy and political stability but higher regulatory quality. Profitability moderates these relationships.
Zahid et al. (2022)	Panel data regression	620 firms (2010–2019)	Western Europe	Big Four audit firms	Thomson Reuters ESG scores	ESG negatively impacts ROA but positively impacts revenue. Big Four audit quality exacerbates the negative ESG-ROA relationship but enhances. The positive ESG-revenue relationship.

(Continues)

TABLE 5 | (Continued)

Author(s) and year	Study design	Sample size	Country/region	ESG		
				Audit quality measures	performance measures	Key findings
Chen and Lin (2023)	Multiple linear regression	21,952 observations (2010–2020)	China	None explicitly mentioned	CSI ESG rating	ESG performance has a significant positive impact on financial performance, particularly improving ROA, with firm size, growth, and governance also contributing positively.
Zhang and Liu (2023)	Panel data regression	30,970 firm-year observations (2009–2021)	China	None explicitly mentioned	Huazheng ESG ratings	ESG performance promotes green innovation by alleviating financing constraints and enhancing human capital, with governance having the strongest impact.
Zahid et al. (2024)	Panel data regression	6295 firm-year observations (2010–2019)	China	Big Four audit firms	Bloomberg ESG score	ESG performance reduces debt financing while increasing access to equity financing, with audit quality having no significant moderating effect on this relationship.
Wang (2020)	Empirical analysis, regression	Listed companies in Shanghai and Shenzhen (2014–2019)	China	Discretionary accruals (modified Jones model)	No ESG measure	A decrease in audit fees due to market competition significantly reduces audit quality, as measured by discretionary accruals.
Le Ha et al. (2024)	Panel data analysis	295 companies (2017–2022)	Vietnam	Audit quality (Big Four auditors)	Thomson Reuters ESG score	ESG practices positively affect financial performance, with audit quality (Big Four auditors) strengthening this relationship.
Wang, Song, and Sun (2023)	Logit regression	28,645 firm-year observations (2009–2020)	China	Auditor experience (measured by cumulative client assets audited)	Sino-Securities Index (SSI) ESG rating	Better ESG performance reduces the likelihood of modified audit opinions, especially for less experienced auditors.

(Continues)

TABLE 5 | (Continued)

Author(s) and year	Study design	Sample size	Country/region	ESG	
				Audit quality measures	performance measures
Diab and Eissa (2024)	Binary logistic regression	612 firm-year observations (2014–2022)	Egypt	Big Four audit firms (audit quality)	Egyptian Exchange (EGX) ESG index ESG firms are more likely to choose Big Four auditors and less likely to receive a qualified audit opinion; COVID-19 raised the chance of ESG firms receiving a qualified opinion.
Zeng and Jiang (2023)	Two-stage least squares regression	156 listed companies (2009–2021)	China	None explicitly mentioned	Sino-Securities ESG Rating System ESG performance positively impacts corporate performance, with stronger effects from social and governance dimensions; tax incentives and marketization degree negatively moderate this relationship.
El-Deeb et al. (2023)	Two-stage least squares (2SLS) regression	46 firms (2017–2021)	Egypt	Big Four audit firms (audit quality)	ESG disclosure positively impacts firm value, and audit quality significantly moderates this relationship, enhancing the positive effects of ESG disclosure on firm value.
Hamza and Jarboui (2024)	Generalized least squares (GLS) regression	616 firm-year observations (2010–2017)	France	None explicitly mentioned	ASSET4 Thomson Reuters ESG Score A well-balanced board of directors weakens the positive effect of tone management in CSR reports on ESG performance, reducing impression management.
Del Giudice and Rigamonti (2020)	Multivariate analysis, OLS regression	71 corporate scandals (2007–2017)	Global	Audited versus unaudited ESG reports	Thomson Reuters ESG scores Audited ESG reports lead to more stable ESG scores after corporate scandals, while unaudited reports show significant decreases in scores.

(Continues)

TABLE 5 | (Continued)

Author(s) and year	Study design	Sample size	Country/region	ESG		
				Audit quality measures	performance measures	Key findings
Zahid et al. (2022)	Panel data regression	663 firms (2010–2019)	Western Europe	Big Four audit firms	Refinitiv Eikon ESG scores	ESG practices positively influence dividend payouts, but audit quality (Big Four auditors) negatively moderates this relationship, reducing dividend growth.
Hamidah and Puspawati (2023)	Moderation regression analysis	50 companies (198 observations, 2017–2021)	Indonesia	Big Four audit firms	Thomson Reuters ESG scores	ESG does not affect financial performance, while company size and board size positively impact financial performance. Audit quality does not moderate the relationship between ESG, company size or board size and financial performance.
Maji and Tiwari (2025)	Panel data estimation and two-stage least square techniques	218 Indian firms	India	Big Four audit firms	Thomson Reuters ESG scores	A positive impact of ESG score and its components on FP. AQ significantly moderates the relationship between ESG scores and FP, the Big-4
Saleh et al. (2025)	Firm fixed-effects regression model	105 nonfinancial companies listed in EGX (735 firm-year observations, 2017–2023)	Egypt	Natural logarithm of audit fees	ESG disclosures (environmental disclosures, social, and corporate governance disclosures)	Companies with ownership structure, high ownership concentration and significant institutional ownership tend to disclose more ESG information. Audit quality acts as a moderating factor that strengthens this relationship

(Continues)

TABLE 5 | (Continued)

Author(s) and year	Study design	Sample size	Country/region	ESG		
				Audit quality measures	performance measures	Key findings
Vaihekoski and Yahya (2025)	Fixed-effect panel regression	2757 firm-year observations 319 firms (42 firms from Denmark, 55 from Finland, 5 from Iceland, 60 from Norway, and 157 from Sweden)	Nordic (Denmark, Finland, Iceland, Norway, and Sweden)	Big Four audit firms	ESG scores	Higher ESG scores lead to higher valuation when a Big Four audit firm is engaged as the external auditor.
Rahman et al. (2025)	Two-stage least squares (2SLS) regression model	Chinese-listed companies in Shanghai and Shenzhen with A-shares from 2009 to 2022	China	Big Four audit firms	ESG factors—corporate financial performance (CFP) using ROA	A positive correlation between ESG criteria and CFP, and higher audit quality weakens the relationship between ESG and CFP.
Attia and Almoneef (2025)	Regression analysis using GMM method	126 non-financial companies between 2017 and 2023	MENAT region	Big Four audit firms	ESG Scores and FP using ROA and ROE	Environmental and social pillars positively affect FP, while governance pillar does not appear a such effect. A positive and significant effect of interaction between audit quality and ESG on FP.
Yang and Tian (2025)	Robust empirical analysis methods	18,483 observations (A-share listed companies from 2017 to 2023)	China	Audit reporting aggressiveness	ESG rating scores	A positive and significant correlation between ESG rating uncertainty and audit quality

(Continues)

TABLE 5 | (Continued)

Author(s) and year	Study design	Sample size	Country/region	ESG		
				Audit quality measures	performance measures	Key findings
Cai et al. (2024)	Regression analysis using GLS and GMM methods	2121 observations (303 Chinese companies from 2017 to 2023)	China	Big 4 audit firms and audit fee	ESG rating scores	The effect of audit quality on improving ESG performance is positive but not significant.
Handayati et al. (2025); (Azahra and Hasnawati 2024)	Regression analysis using GMM method	640 firm-year observations (top 80 listed firms 2016 to 2023)	Indonesia	Big Four audit firms	ESG scores	A positive correlation between assurance sustainability and sustainability committees and ESG performance. A positive correlation between gender-diverse boards and firms audited by the Big Four auditors and sustainability performance.
Azahra and Hasnawati (2024)	Regression panel data using E-Views software version 9	346 companies listed on the IDX in several non-financial sectors 2020–2022	Indonesia	Auditor specialization in industry (0 = No, 1 = Yes)	Global Reporting Initiative (GRI) standard index	Environmental disclosure has a positive effect on company value, while social and governance disclosure do not. Audit quality influences company value, whereas internal audit has no significant effect.

TABLE 6 | Common audit quality proxies used in literature.

Category	Common proxies	Most frequently used
Auditor-Related Factors	Big Four affiliation, auditor tenure, auditor industry specialization	Big Four affiliation
Audit Committee Characteristics	Committee size, independence, expertise	Independence and expertise
Process Indicators	Audit fees, type of audit opinion, Internal audit effectiveness	Audit fees
Governance Context	Regulatory compliance, enforcement quality	Regulatory compliance

TABLE 7 | Common ESG measures and how they are used in literature.

ESG measure type	Sources	How it is used in the literature
Composite ESG Scores	Refinitiv, MSCI, Thomson Reuters	Used as overall numerical ESG performance indicators.
ESG Pillar Scores	Environmental, Social, Governance sub-scores	Examined separately to assess pillar-specific effects.
Disclosure Indices	GRI, CDP, custom checklists	Used to score the extent and quality of ESG disclosures.
Binary Disclosure Measures	Presence of ESG report or assurance	Used as dummy variables (1 = disclosed, 0 = not disclosed).
Content Analysis Measures	Annual/sustainability reports	Used to evaluate depth, frequency, or quality of ESG information.
Market-Based ESG Outcomes	Firm value, ROA, ROE, Tobin's Q	Used to link ESG performance with financial outcomes.

experience reduces the likelihood of modified audit opinions, linking expertise to both disclosure quality and sustainability outcomes. (Wang 2020) further demonstrate that Big Four auditors amplify the positive relationship between ESG practices and financial performance.

Studies also highlight the role of adherence to professional standards. (Luo et al. 2024) show that audit and sustainability committees enhance ESG–performance links through governance compliance. Likewise, (Sawaya et al. 2025) find that audit committee independence and meeting frequency improve disclosure quality, while (Zahid et al. 2022) show that Big Four audits strengthen the ESG–revenue relationship. Governance quality also matters: (Sharaf-Addin 2024) find that political stability and regulatory strength improve ESG reporting, and (Zhang and Guo 2024) confirm that audit expertise and independence ensure greater reliability in disclosures.

The importance of professional skepticism also emerges. (Wang, Song, and Sun 2023) show that ESG firms tend to select Big Four auditors, who apply stronger skepticism and issue fewer qualified opinions. (Al-Jalahma et al. 2020) find that less-experienced auditors are more likely to issue modified opinions when ESG is weak, while (Zhang and Guo 2024) emphasize that ESG-focused audit committees enhance scrutiny. (Diab and Eissa 2024) caution that firms may manipulate ESG disclosures under tax incentives or market pressure, making skepticism essential. (Del Giudice and Rigamonti 2020) show that audited

ESG reports remain more stable after scandals, reinforcing the role of skepticism in safeguarding integrity. Finally, audit responsiveness matters. (Zhou 2023) report that shorter audit delays improve disclosure accuracy, particularly among Big Four auditors. (Wang 2020) confirm that Big Four auditors ensure timelier and more reliable ESG disclosures, and (Wang, Song, and Sun 2023) note that firms audited by Big Four are less prone to delays, ensuring stakeholders receive relevant and up-to-date information.

Comparative insights reveal that the relationship between audit quality and ESG–corporate performance varies across institutional contexts. In developed markets, strong regulatory environments and mature assurance frameworks make auditor-related measures, such as Big Four affiliation, industry specialization, and auditor tenure, more effective in strengthening the ESG–performance link through enhanced credibility, reduced information asymmetry, and timely disclosure. By contrast, studies in emerging markets show that governance mechanisms, particularly audit committee independence, expertise, meeting frequency, and internal audit quality, play a more dominant role in improving ESG disclosure and performance, as they often compensate for weaker enforcement, fragmented reporting systems, and limited external assurance capacity. Looking ahead, future research should expand cross-market comparative studies using harmonized ESG and audit-quality proxies, examine longitudinal effects of audit quality on ESG outcomes, and explore emerging forms of sustainability assurance, including ESG-specific audits,

integrated reporting assurance, and digital or AI-supported audit analytics. Further work is also needed on underexplored areas such as internal audit quality, internal control strength, auditor behavioral factors (e.g., skepticism, workload, experience), and organizational incentives or pressures that may shape the audit quality–ESG relationship, particularly in markets vulnerable to greenwashing or regulatory gaps.

Despite these contributions, important gaps remain in the literature. Most prior studies rely heavily on proxies such as Big Four affiliation or audit committee characteristics, while fewer studies examine audit quality measures that capture the auditor's expertise, compliance with professional standards, professional skepticism, and responsibility. Moreover, almost none of the existing research investigates the role of internal control systems in addressing the relationship between audit quality, ESG disclosure, and corporate performance. Since internal control systems serve as a foundation for both reliable financial reporting and credible ESG disclosures, overlooking this dimension limits our understanding of how audit quality can effectively enhance ESG-corporate sustainability performance.

4.4 | Geographical Trends in Audit Quality and ESG Corporate Performance

Clear geographical patterns are evident in audit quality and ESG corporate performance studies, particularly in how audit quality and ESG are measured and how audit quality affects ESG corporate performance. Studies conducted in developed economies, such as Europe, the United States, and other OECD countries, predominantly focus on auditor-related proxies, including Big Four affiliation, auditor specialization, and regulatory enforcement quality. In these contexts, strong institutional frameworks and mature capital markets enhance the effectiveness of high-quality audits in strengthening ESG disclosures and corporate performance. In contrast, research from emerging and developing economies, particularly in Asia, Africa, and the Middle East, tends to emphasize audit committee characteristics, internal audit effectiveness, audit fees, and disclosure practices. These studies often reflect weaker regulatory enforcement, evolving governance structures, and greater variation in ESG reporting practices. Overall, the geographical concentration of existing research in developed markets highlights a significant gap, suggesting the need for more context-specific studies in emerging economies where institutional differences may fundamentally shape the relationship between audit quality and ESG corporate performance.

5 | Conclusion

This SLR is concluded by highlighting directions for further study, limitations, and concluding observations in the sections below.

5.1 | Closing Insights

This SLR study highlights the critical relationship between audit quality and ESG corporate sustainability performance,

with most studies emphasizing the importance of high-quality audits in ensuring credible ESG reporting and disclosure. Although both audit quality and ESG performance have been increasingly discussed in the literature, the relationship to ESG corporate sustainability performance including financial and non-financial performance remains under-researched. Moreover, prior research relies heavily on limited proxies for audit quality, such as Big Four affiliation or audit committee characteristics, while paying less attention to deeper dimensions like auditor expertise, compliance, skepticism, and professional responsibility. Similarly, ESG is often measured narrowly through ESG scores or ratings, overlooking more nuanced indicators of environmental, social, and governance performance. In addition, the role of internal control system, as a key factor for ensuring reliable ESG disclosures and performance, has been largely overlooked, representing a significant gap and a promising avenue for future research. This review fills that gaps and highlights the importance of ongoing partnership between auditors, firms and regulators to enhance audit practices and sustainable business performance. With the integration of audit quality and internal control system into corporate strategy to ensure ESG corporate sustainability performance, more extensive research is needed to advance theoretical knowledge and contribute to practical applications, particularly in emerging markets where alternative governance structures and internal control mechanisms may play a more significant role.

5.2 | Conceptual Contribution

Beyond synthesizing empirical findings, this SLR study offers several conceptual contributions to the audit–ESG literature. First, the study consolidates fragmented evidence and highlights that most prior studies rely on narrow proxies for audit quality, such as Big Four affiliation, while paying limited attention to deeper dimensions like auditor expertise, compliance with standards, skepticism, and responsibility. This conceptual integration advances the understanding that audit quality is multidimensional, and its impact on ESG performance cannot be explained by single proxies such as Big Four affiliation alone. Second, the study highlights the often-overlooked role of internal control systems in connecting audit quality to ESG corporate sustainability performance, extending existing models that mainly focus on external assurance. Third, this study proposes a new way of thinking about ESG reporting. Instead of seeing it only as a result of audit quality, it shows that ESG reporting is also influenced by technology (such as AI), governance, and the institutional environment. Finally, by contrasting evidence between developed and emerging markets, the review introduces a contextualized conceptual lens showing that institutional strength moderates the audit–ESG relationship. Overall, these insights contribute to a more comprehensive theoretical understanding of how audit quality mechanisms operate within varying governance and regulatory landscapes to shape ESG corporate sustainability performance.

5.3 | Future Research Directions

From the review of previous studies, there are several research gaps that need further investigation on audit quality and ESG

corporate performance. First, very few studies have explored audit quality beyond the common proxy of Big Four affiliation. There is a need for future research to examine audit quality through deeper dimensions such as auditors' expertise, compliance with professional standards, professional skepticism, and sense of responsibility, as these factors are critical to ensuring high-quality ESG disclosures. Second, within the discussion on the internal control system, it is legitimate and encouraged to recommend conducting more studies in this area. It is nearly impossible to find research that investigates the role of internal control systems when studying the relationship between audit quality and ESG corporate sustainability performance. Since strong internal controls are essential for reliable reporting, this serves as an incentive for future research. Third, the role of artificial intelligence (AI) in relation to audit quality and ESG corporate sustainability performance is another area of interest for prospective researchers. In other words, future studies could examine how emerging technologies, such as AI, support auditors in enhancing ESG assurance rather than only focusing directly on ESG performance. Finally, similar to past studies, global audit quality by sub-groups in relation to gender, number of years in practice, and academic qualifications have not been extensively explored. There is room for future research to investigate whether such differences affect ESG corporate performance in specific industries and geographical locations, particularly in developing countries where governance and enforcement structures may differ.

5.4 | Limitation

The limitations of the current study need to be pointed out, even though the study fosters the existing and future research. First, the period narrowed to 2020–2025 might fail to capture relevant studies done before and after the closing of the studies review. Second, the scope of the study applied geographical scope and focused on four databases only: Scopus, Science Direct, Web of Science, and IEEE Xplore. Other, possibly neglecting an important body of literature within other databases or other geographic areas is strongly suggested. Lastly, all the identified studies relied on quantitative methods. However, future research is encouraged to incorporate qualitative approaches as well, which could provide deeper insights, capture contextual factors, and add new theoretical dimensions to the existing findings.

Author Contributions

Mohammed Alfify: research idea, conceptualization, investigation, writing – review and editing. **Hussein H. Sharaf-Addin:** contribution methodology, formal analysis, writing – original draft, final draft organization, visualization.

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Conflicts of Interest

The authors declare no conflicts of interest.

Data Availability Statement

The dataset applied in this systematic literature review (SLR) can be available by request.

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